

# Robinhood Markets, Inc.

HOOD NASDAQ

|      |                 |                              |                                     |                        |
|------|-----------------|------------------------------|-------------------------------------|------------------------|
| Hold | \$94.05 ▼ 0.91% | 12M Price Target<br>\$105.00 | 52-Week Range<br>\$63.52 – \$153.86 | Market Cap<br>\$84.75B |
|------|-----------------|------------------------------|-------------------------------------|------------------------|

## HOOD: Crypto Cooling Meets Robinhood's Blockchain Bet

### WHAT HAPPENED

- HOOD dropped ~12% over the last 4 trading days (\$106 → \$94) on light volume today — this smells like profit-taking after a monster run, not panic. The stock is still up huge YTD, and it just ripped from \$63 to \$153 earlier this year, so a cooling-off period was overdue.
- The narrative shift matters: that Motley Fool piece flagging Robinhood's new blockchain as "bearish for Ethereum" cuts both ways — great that their L2 chain is winning, but it also means their success is now tied to crypto sentiment, and Bitcoin is stuck around \$64K waiting on the Fed.

### WHY IT MATTERS

Here's what's really going on: HOOD has morphed from a meme-stock brokerage into a legit crypto/tokenization infrastructure play, and the market is trying to figure out what multiple to slap on that. The \$25M in blockchain fees is small in absolute terms but it's a proof-of-concept — if tokenized assets (stocks, bonds, real estate on blockchain) become a real thing under the current pro-crypto administration, HOOD is one of the very few public companies with the rails to capture that. The Revolut news is a warning shot though — European fintechs are moving fast into private-market access for retail (Apollo, Ares funds for €1), and if HOOD doesn't match that, they lose the "democratizing finance" narrative that justifies the premium multiple.

### POLICY & POLITICAL WATCH

The big one to watch: the CLARITY Act and follow-on crypto market structure legislation working through Congress — if passed, it gives the CFTC (friendlier regulator) primary jurisdiction over most crypto, which is a massive tailwind for HOOD's crypto business (roughly a third of revenue). The SEC under the current administration has already dropped several crypto enforcement cases and is actively drafting rules to allow tokenized securities, which is literally HOOD's new blockchain thesis. Downside risk: if the "GENIUS Act" stablecoin framework ends up favoring banks over fintechs, HOOD's payment/stablecoin ambitions get boxed out.

### IS IT EXPENSIVE?

At ~\$94 and \$85B market cap on ~\$4.2B expected revenue, you're paying about \$20 for every \$1 of revenue — that's rich, roughly double where a traditional broker like Schwab trades, but half of where pure crypto plays like Coinbase sit. The forward P/E around 50x means investors are paying \$50 for every \$1 of earnings, which only makes sense if HOOD keeps growing 30%+ and the crypto/tokenization story compounds. Fair, not cheap — you're paying for optionality on the tokenization future, not the current business.

### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$94.05  |
| 12M Price Target    | \$105.00 |
| Upside / (Downside) | +11.6%   |
| Market Cap          | \$84.75B |
| FY2026E Revenue     | \$4,200M |
| FY2027E Revenue     | \$5,100M |
| FY2026E EPS         | \$1.85   |
| FY2027E EPS         | \$2.40   |
| Fwd P/E             | 50.8x    |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$105.00  | \$95.00   | \$82.00   |
| 6 Months  | \$130.00  | \$105.00  | \$75.00   |
| 1 Year    | \$160.00  | \$115.00  | \$70.00   |
| 2 Years   | \$210.00  | \$140.00  | \$65.00   |
| 5 Years   | \$320.00  | \$200.00  | \$55.00   |
| 10 Years  | \$600.00  | \$300.00  | \$40.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Financials (+2% today, +1.2% week) benefiting from a steepening yield curve and expectations of deregulation. Comm Services and Consumer Staples caught defensive bids — that's a "risk-off within risk-on" signal worth noting.

**COOLING OFF:** Consumer Discretionary is down ~4% on the week — retail investor wallet health matters directly for HOOD's account growth and trading volumes.

**ROTATION WATCH:** Money is rotating into traditional financials (banks, insurers) rather than fintech disruptors right now — that's a mild headwind for HOOD short-term, since the "old finance beats new finance" trade is on until the Fed clarifies its path.

**RELATED PLAY:** If HOOD's tokenization thesis works, the picks-and-shovels winners are the blockchain infrastructure providers and custodians — think COIN's institutional custody arm or even the exchanges building tokenized securities rails.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct beneficiary of crypto-friendly regulation and the primary institutional on-ramp — often leads HOOD on crypto sentiment days.
- SCHW (Charles Schwab): Winning the "boring wins" trade with rate-cut expectations helping their cash sweep economics.

**HOOD CONTEXT:** HOOD is lagging its fintech peers this week after leading them for most of 2026 — classic "leaders rest first" behavior. If it holds \$90 and Bitcoin holds \$60K through the Fed meeting, this is a buyable pullback. If both break, wait.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**CONVICTION:** 6/10 — I like the long-term story but the setup right now is messy with Fed uncertainty and a stock that just fell 40% from highs.

**POSITION SIZE:** 2-4% — the upside is real (tokenization is a legit multi-year theme) but this stock can drop 20% in a week, so size it small enough that you can sleep.

**ENTRY POINTS:** I'd start nibbling at \$88-90 and back up the truck if it gets to \$80. Don't chase it back to \$105+ without a fundamental catalyst.

**TIME HORIZON:** 12-24 months — the catalyst you're waiting for is crypto market structure legislation passing and evidence that blockchain revenue is scaling into the hundreds of millions.

**WHEN TO BAIL:** Out if crypto revenue drops more than 30% quarter-over-quarter, if the SEC reverses on tokenization, or if the stock breaks \$75 on high volume.

**HEDGING:** If you own HOOD, consider buying puts about 10% below the current price for cheap insurance, OR pair it with a short position in COIN to isolate the "HOOD-specific" thesis and hedge out general crypto risk.